

Sayed Ahmad And Another v. State of U.P. And 3 Others

Allahabad High Court · Division Bench · 21 January 2021 · Writ - C No. 26380 of 2020 · **Writ petition disposed of without deciding merits; petitioners to file a fresh representation within two weeks for a reasoned speaking order on final assessment after hearing, preferably within four weeks of receipt; no coercive action for six weeks or until that decision, whichever is earlier, including on the demand notice dated 4.12.2020; no benefit if the representation is not filed; relevant documents to be supplied on application**

HEADNOTE

A licensee cannot recover a theft assessment by treating the provisional figure as final without a hearing, or by issuing a demand before a final assessment and without supplying a copy of that order. Applying Shishir Jain, the Division Bench held that the consumer cannot be compelled to deposit the provisional amount unless a final assessment is made after considering the objection and hearing him. Treating the provisional amount as final is de hors Section 126 of the Electricity Act, 2003 and Clause 8.1 of the U.P. Electricity Supply Code, 2005, and violates natural justice; Clause 8.1 requires inspection, provisional assessment, hearing and final assessment in theft cases. Without entering the merits, the Court directed a fresh representation for a reasoned speaking order after hearing, stayed coercive action for six weeks or until that decision (including on the 4 December 2020 demand), and withheld the benefit of the order if the representation is not filed.

FACTUAL SUMMARY

Sayed Ahmad and another filed Writ-C No. 26380 of 2020 in the Allahabad High Court against the State of U.P. and three others, including the Power Corporation. A checking squad inspected their premises. Demand notices dated 8 October 2020 provisionally assessed Rs. 2,16,016, reciting illegal use of electricity on the strength of an FIR for theft. They replied on 19 October 2020 denying illegal use and saying they paid bills regularly and had no dues. Respondent no. 3 rejected those objections by a para-wise communication dated 3 November 2020, without a personal hearing. After the writ was filed, a Final Assessment Notice dated 4 December 2020 was served and taken on record by a supplementary affidavit.

They sought certiorari quashing the 8 October 2020 demand notices, the 3 November 2020 rejection, and consequential proceedings, on the ground that Section 126(3) of the Electricity Act, 2003 and Clauses 6.8 and 8.1 of the U.P. Electricity Supply Code, 2005 had not been followed. Counsel for the Power Corporation could not justify a final assessment without a hearing, or a demand notice issued before that final assessment.

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — provisional figure cannot be treated as final without hearing

QUESTION

May a licensee recover a theft demand by treating the provisional assessment as final where objections were answered para-wise without a hearing, a demand issued before the final assessment, and a copy of that order was not supplied?

HOLDING

No. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. Treating the provisional amount as the final assessment without a hearing, and compelling deposit on that figure without supplying a copy of the final order, is de hors Section 126 and Clause 8.1 and violates natural justice. Licensee's counsel could not justify a final assessment made after the demand notice and without a hearing. Without deciding merits, the petitioners were directed to file a fresh representation within two weeks for a reasoned speaking order on final assessment after hearing, preferably within four weeks of receipt. Coercive action is stayed for six weeks or until that decision, whichever is earlier, including on the 4.12.2020 demand; if they do not file the representation, they get no benefit of the order.

QUALIFIER

The 8.10.2020 demand notices and the 3.11.2020 para-wise rejection were not quashed. Petitioners also invoked Clause 6.8; the Court specified Clause 8.1 as the theft-assessment procedure and did not independently construe Clause 6.8.

FLAG Unnumbered 21.1.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 supplementary affidavit / 4.12.2020 final assessment taken on record; 3 reliefs; 4 checking, 8.10.2020 demand of Rs. 2,16,016, FIR for theft, reply 19.10.2020; 5 no hearing, s.126(3) and Clause 8.1, para-wise reply; 6 Clause 6.8 as well as 8.1, final assessment subsequent to the demand; 7 licensee's counsel could not justify; 8 Shishir Jain para 16 quoted; 9 procedure dehors s.126 and Clause 8.1, Clause 8.1 described as the theft path, treating provisional as final without hearing violates natural justice; 10 representation directed without entering merits; 11 stay of recovery and of the 4.12.2020 demand; 12 no benefit if representation not filed; documents on application). Petitioner invoked s.126(3) and Clauses 6.8 and 8.1; the Court's holding is framed as Section 126 and Clause 8.1.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing

QUESTION

Can the consumer be compelled to deposit the amount of a provisional Section 126 assessment when no final assessment after hearing has been made, and a copy of any later final order has not been supplied?

HOLDING

No. Following Shishir Jain paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, the petitioner cannot be compelled to deposit the provisional amount. The procedure adopted was held dehors Section 126. Recovery was not allowed to proceed as a concluded final assessment; it was stayed pending a speaking decision on a fresh representation after hearing. ¶ 5, 8-11

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The demand notices were not quashed.

PRINCIPLE TAGS

opportunity-before-final-assessment Objections to the 8.10.2020 provisional demand were answered para-wise on 3.11.2020 without a hearing. A Final Assessment Notice dated 4.12.2020 followed after the writ was filed, without a copy of a reasoned final order. The Court would not treat the provisional figure as final, or permit recovery on it, without an opportunity of hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5-9

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the provisional figure as final without hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 9

final-assessment-order-mandatory-under-section-126-3 Applying Shishir Jain paragraph 16, the Court held that without a final assessment after considering the objection and granting a hearing, the petitioners could not be compelled to deposit the provisional amount under Section 126. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 8-9

ex-parte-s126-assessment-requires-hearing-before-recovery The 8.10.2020 demand, treating the provisional amount as final without hearing, was not allowed to operate as concluded recovery; coercive action, including on the 4.12.2020 demand, was stayed pending a speaking order after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 9-11

assessment-demand-notices-relegated-to-representation-without-merits Without entering the merits, the Court did not quash the demand notices or the 3.11.2020 rejection. It directed a fresh representation for a reasoned speaking order on final assessment after hearing. ¶ 10-12

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF RS. 2,16,016

Expressly left undecided; a fresh representation was directed for a reasoned speaking order after hearing. ¶ 10

NOT DECIDED — WHETHER THE DEMAND WAS ALSO GOVERNED BY CLAUSE 6.8 (UNAUTHORISED USE) AS WELL AS CLAUSE 8.1 (THEFT)

Petitioners invoked both clauses. The Court specified Clause 8.1 as the theft-assessment procedure because the demand rested on an FIR for theft, and did not independently construe Clause 6.8. ¶ 5-6, 9

NOT DECIDED — QUASHING OF THE DEMAND NOTICES DATED 8.10.2020 AND THE COMMUNICATION DATED 3.11.2020

Sought as reliefs (i) and (ii). Neither was quashed; recovery was stayed pending a speaking decision on a fresh representation. ¶ 3, 10-11

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, demand notices are not sustainable.		Court	Followed

SCJ-3224 · Sayeed Ahmad And Another v. State of U.P. And 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.